

to sell [their shares] at those inflated prices. So in a sense, this valuation obsession cost companies dearly in terms of market execution, in terms of R&D execution, etc. And this is the cost of bubbles. Bubbles always cause long-term economic damage. We saw this in the start-up sector, [where] resources got sucked into companies whose only focus was to inflate their paper valuations—FTX is a classic example of that. This, to a lesser extent, is reflected across the landscape.

Q: You speak about employees and the cost to employees Sridhar, and that is very apparent now with thousands of employees being laid off practically every week or month from the digital universe. Do you see this becoming even more painful because of the flow or flaws in the business model you alluded to?

A: Unfortunately, it is the cost of the bubble itself. There were inflated valuations that attracted more money into the sector; companies went on hiring sprees and massively over-hired. When the bubble burst, people lost their jobs. It is sad to watch the spectacle, but it had happened twice before—in 2001, and again in 2008-09. And both times, the exact same thing happened—too much money was raised, there were inflated valuations [and hiring sprees], and then there was a big crash and job losses. This time, the bubble appears to be bigger, which is why the bust seems even worse. And I am afraid that the pain has just started. It would get worse before it gets better in the whole tech sector.

Q: Do you see companies going belly up, being unable to raise venture capital or private equity funding?

A: Look at history as a guide—the best way we can predict the future is to look at past episodes where similar stuff happened. I remember this very distinctly. In Silicon Valley, we were exposed to the

ON THE INDIAN MARKET

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ON HYPER-INFLATED VALUATIONS

When you make valuations the real metric, you get extremely hyper-inflated valuations. And that becomes the principal objective for companies. This severely distorts your decision making [since] you're not running the company to benefit customers or even employees. [This] valuation obsession costs companies dearly in terms of market execution, R&D execution, etc.

ON TALENT

A lot of companies look at talent as something that you get from the market. We see, particularly in the Indian context, the challenge is one of creating and nurturing the talent. We don't assume that there's ready-made talent available in the market. We actively seek to create and nurture the talent. That approach has served us well

optical networking sector. That's what we were serving in 1999-2000—our primary business was selling software to optical networking companies. There were 400-500 such companies in the US then. Two years later, around 95 per cent of the companies had shut down. Today, only one or two of them survive. And what is interesting is the optical revolution really happened. I'm in a remote village and I have dual-fibre optic links coming to my home. In 2000, this was unimaginable. Similarly, the wireless revolution happened. Everybody has a smartphone in their pocket, which was unimaginable in 2000. So the premise of the technology revolution was correct. Yet the companies that were betting on it, the venture capital that went into all this, eventually went bust. Again, it is Warren Buffett's elegy: the sector flourished long-term, but the companies that overextended themselves—and a vast majority of companies did that—did not. The overall premise could be correct [and] the digital transformation would come true. But that doesn't mean all the investment dollars that bet on the premise would get a return.

Q: How important is the Indian market for Zoho Corp?

A: Right now, India is No. 3 in terms of market share. In 10 years, it has gone from barely being in the Top 10 to No. 3. That tells you how fast we have grown in India in the past 10 years. In fact, until about 2012, India was a production base, but we hardly had any market. Today it's No. 3, [and] also the fastest-growing market by far. And I see it becoming No. 2 in the next three to five years, and—based on current trends—could even be the No. 1 market over the next 10 years. That's how important India is to us. It also reflects the broader growth in Indian economy that has gone from \$350 billion 25 years ago to \$3.5 trillion now. And I can easily see the pathway to a \$10-20-trillion economy in the next 10-15 years.

Q: Let me ask you a question on the HR side because of your